



DECISION

Complaint No. : POS/1461/KE/194/25

Name and Address of the Complainant : Mr. Muhammad Ali, Contractor, C/o Abdul Wahab, House No. 01, MC Centre, Jamshed Road, No. 03, Karachi.

Name of the Agency Complained against : Hyderabad Municipal Corporation (HMC)

Name & Designation of Investigation Officer : Syed Farrukh Habib
Director, Regional Office, Karachi (East)

Subject :- **INORDINATE DELAY IN PAYMENT OF DUES FOR WORK DONE AND SUPPLIES MADE BY THE COMPLAINANT.**

THE COMPLAINT

Mr. Muhammad Ali, Contractor, in his complaint dated 18.02.2025 stated that despite fulfilling multiple contracts awarded by the Hyderabad Municipal Corporation (HMC), including lifting offal during Eid-ul-Azha 2019-20 (Rs. 7,902,723/-), supply of two batteries (Rs. 196,000/-), provision of uniforms, excavator, and air conditioner to the Encroachment Department (Rs. 2,391,850/-), fumigation services for the Health Department (Rs. 1,368,750/-), removal of hoarding boards (Rs. 1,926,593/-), and desilting of a *nulla* and sanitation materials (Rs. 1,834,250/-), all his bills, were pending since 2019 despite having been verified and cleared by the Audit. He stated that all these bills were unpaid without justification, causing him severe financial hardship. He alleged that HMC administration wasted time in unnecessary correspondence, as well as changes caused in administrative setup resulted into further delays by the Accounts Branch and scrutiny committee which further obstructed the release of his lawful dues. He, therefore, solicited intervention of this office in the matter.

PROCEEDINGS

2. After admission of complaint by condoning delay under Section 10 of the Establishment of the Office of Ombudsman for the Province of Sindh Act, 1991, (amended up to date), as well as receiving mandatory Affidavit on Form "A" and other relevant documents, report was called from the Agency. The Senior Accounts Officer, Hyderabad Municipal Corporation, vide his letter dated 14.05.2025, reported that, as per the information provided by the applicant, several audited and passed bills are available with the Accounts Branch; however, due to paucity of funds at that time, payments could not be made. The Accounts Office, report mentioned about its correspondence with the competent authority, requesting for an additional grant to clear the accumulated liabilities of contractors, but the request has not yet been approved, and the funds have not been released. The liabilities therefore, have remained unpaid. Regarding specific claims, the Accounts Officer confirmed that the bill for the supply of two batteries was audited and available, however, payment could not be made for want of funds. As far as bills for the supply of uniforms, excavator with shovel, air conditioner, fumigation/spray services, removal of hoarding boards, and desilting of *nulla*, the report observed these were not available in the Accounts Office, HMC.

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3. In order to sort out the issue, the investigating officer fixed the case for hearing on 05.05.2025, 15.05.2025, 22.05.2025, 12.06.2025, 23.07.2025 and lastly on 16.09.2025. The Municipal Commissioner, HMC and the Sr. Accounts Officer, HMC attended these hearings, when matter was discussed threadbare. The Agency was provided with all the bills to verify and process these. It raised the issue of shortage of funds and limited budget and presented copies of correspondence it had with the Local Government Department for providing additional grant to settle contractor liabilities. The complainant reiterated that department beside accepting only his audited bills (74) Nos. amounting Rs. 1,56,00,000/- (approx.). should also consider other 40 bills, against which the budget had not been shown, which amounts to Rs. 18,50,000/- (approx.), as well as include other four bills, which were also pending.

FINDINGS

4. I have examined the case file and perused correspondence, reports and rejoinders etc., and observed that:
- i. The complaint relates to non-payment of dues against works performed under multiple contracts executed for the Hyderabad Municipal Corporation (HMC) from 2019 onward. Despite the work being completed, bills verified, and audit clearance obtained in many cases, no payment made.
 - ii. The total outstanding amount as per the complainant includes:
 - 74 audited and passed bills amounting to approximately Rs. 15,600,000/-.
 - 40 additional bills without budget allocation totaling approximately Rs. 1,850,000/-.
 - Four more bills also remain pending, details unspecified.
 - iii. During the course of hearing, the Senior Accounts Officer and the Municipal Commissioner appeared and confirmed the existence of several audited bills, attributing non-payment to shortage of funds and pending approval for additional grants.
 - iv. The Accounts Officer admitted the availability and audit status of some bills (e.g., for the supply of batteries), while denying the availability of others (e.g., uniforms, excavator, fumigation services, etc.) at the Accounts Branch, HMC. However, no concrete steps or timelines for resolution were provided.
 - v. Despite repeated opportunities, the Agency has shown non-cooperation and a lack of seriousness, remaining absent from scheduled hearings and failing to produce the complete record or a definitive plan for settlement.
 - vi. The persistent delay and administrative negligence by HMC have caused undue financial hardship to the complainant, which amounts to maladministration under the provisions of the Ombudsman Act.

DECISION

5. In view of the above and in exercise of powers conferred upon me vide section 11 of the Establishment of the Office of Ombudsman for the Province of Sindh Act, 1991 (as amended up to date) I direct the Additional Chief Secretary, Local Government Department to ensure that the complainant's claim gets duly verified at his level and payment is made to the complainant, if his claims are found to be genuine.

Given under my hand and seal of the office



Sd /-
(Muhammad Sohail Rajput)
Sitara-e-Imtiaz. PAS
Ombudsman Sindh

Karachi, dated 30.01, 2026

